

Rigetti Computing, Inc.

RGTI NASDAQ

Hold

\$19.62 ▼ 7.78%

12M Price Target
\$24.00

52-Week Range
\$10.80 – \$58.15

Market Cap
\$6.52B

RGTI: Quantum Bounce Fades as Insiders Keep Selling

WHAT HAPPENED

- RGTI dropped nearly 8% yesterday after a 3-day run on Trump's quantum executive orders — classic "buy the rumor, sell the news" move. The orders did exactly what the sector wanted (pushing federal agencies to adopt quantum computing with a 2028 target), but the stock had already priced it in, running from \$20 to \$21.40.
- The bigger tell: Director Ray Johnson dumped another \$1.75M in shares ON June 22 — right at the top, the day before the drop. That's his THIRD significant sale in three weeks, and CEO Kulkarni sold \$1.5M earlier in June. When insiders sell into your rally, that's a flashing yellow light.

WHY IT MATTERS

The Trump executive orders are a real tailwind — they direct federal agencies to start procuring quantum computing services and set a 2028 adoption target, which is exactly the kind of government demand pull RGTI needs since they barely have commercial revenue. BUT — and this is critical — the market just told us the policy bump is fully priced. From here, RGTI needs actual contract wins, not more headlines, to keep climbing. The Quantinuum IPO chatter is also a double-edged sword: it validates the sector but introduces a much better-funded competitor with Honeywell's backing. With insiders selling aggressively into the rally, the smart read is that even people inside the company think \$20+ is generous for where revenue actually is right now (~\$15-20M annualized on a \$6.5B market cap).

POLICY & POLITICAL WATCH

The big one is the National Quantum Initiative Reauthorization Act — it's been winding through Congress and would lock in multi-year federal funding for quantum R&D (the prior version expired in 2023, so this is overdue). Trump's June executive orders are a bridge, but the real money — billions over multiple years — comes through that bill. Also watch the CHIPS Act follow-on funding and any export controls on quantum tech to China; tighter export rules actually HELP RGTI because it forces U.S. agencies to buy domestic, and RGTI is one of maybe four pure-play American quantum names.

IS IT EXPENSIVE?

This stock is absurdly expensive on traditional metrics — at a \$6.5B market cap on ~\$15M of revenue, you're paying roughly \$430 for every \$1 of sales (versus maybe \$15-20 for a normal high-growth tech name). The only way to justify it is to believe quantum computing becomes a \$50B+ market and RGTI captures meaningful share, which is a 5-10 year bet, not a 1-year bet. Translation: you're not buying a business today, you're buying a call option on a future industry — and the strike price is high.

Key Data

Price (USD)	\$19.62
12M Price Target	\$24.00
Upside / (Downside)	+22.3%
Market Cap	\$6.52B
FY2026E Revenue	\$18M
FY2027E Revenue	\$28M
FY2026E EPS	(\$0.32)
FY2027E EPS	(\$0.28)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$25.00	\$20.00	\$16.00
6 Months	\$32.00	\$22.00	\$14.00
1 Year	\$40.00	\$24.00	\$12.00
2 Years	\$55.00	\$30.00	\$10.00
5 Years	\$100.00	\$45.00	\$8.00
10 Years	\$250.00	\$70.00	\$5.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Consumer Discretionary and Industrials leading today — that's a "risk-on, economy's fine" signal, which usually helps speculative names like RGTI. Quantum and AI infrastructure are getting direct policy tailwinds from the Trump administration.

COOLING OFF: Quantum names specifically cooled today after the executive order pop — classic exhaustion move after a multi-day rally on the same catalyst.

ROTATION WATCH: Money rotated INTO quantum on Monday/Tuesday on the EO news and is now rotating OUT as traders take profits. Watch if it finds a floor around \$18-19 or breaks down to \$15.

RELATED PLAY: If you want quantum exposure without the binary risk, look at the picks-and-shovels names — cryogenic cooling suppliers, specialty semiconductors that feed quantum hardware, or even IBM (which has a quantum business inside a profitable company).

WHO'S WINNING IN THIS SPACE?

- QBTS (D-Wave Quantum): Leading the quantum pack yesterday on the new simulator announcement plus EO benefit — they have actual commercial annealing revenue, which is more than most peers can say.
- IONQ (IonQ): The "blue chip" of quantum pure-plays with better balance sheet and trapped-ion tech that some consider more scalable than RGTI's superconducting approach.

RGTI CONTEXT: RGTI is lagging QBTS on this move — the market is picking winners within quantum, and RGTI isn't currently the favored horse. That's a yellow flag; when a sector rallies on policy news and your name underperforms peers, it usually means smart money sees company-specific issues (like the insider selling).

WHAT I'D DO WITH THIS STOCK

5/10 Conviction Score

CONVICTION: 5/10 — I like the policy setup, but I can't ignore insiders dumping shares and a valuation that requires perfect execution.

POSITION SIZE: Keep this to 1-2% in a speculative sleeve — this is a lottery ticket on quantum computing becoming real, not a core holding. The volatility (52-week range of \$10.80 to \$58) tells you everything.

ENTRY POINTS: I'd wait for \$15-17 — that's where the stock found support before this rally, and you want a margin of safety on a name with zero earnings.

TIME HORIZON: 12-24 months, with the key catalyst being the Quantum Reauthorization Act and the first real federal procurement contracts under Trump's EO.

WHEN TO BAIL: If they announce a stock offering (dilution kills speculative names), if revenue growth slows below 30% YoY, or if a competitor announces a clear technical leadership win.

HEDGING: Easiest hedge is just to size it small — if it's 2% of your portfolio and it goes to zero, you lose 2%. You can also pair it with a long position in a profitable tech name so you're not all-in on speculative AI/quantum.